The Manipulation Model by Funded Brothers

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Introduction to the Manipulation Candle – One Candlestick for Life

The market always provides hints for its next move. If you have a clear plan to identify these movements, you are one step closer to building an edge.

Most of the time, when the market makes its next price leg (continuation or reversal), it does so with a **Manipulation Candle** (MC) on a lower timeframe (such as M5/M10/M15).

The **Manipulation Candle (MC)** has a distinct characteristic – it initially gives the impression that price is moving in one direction (higher or lower) but then manipulates liquidity and reverses in the opposite direction.

- **Bullish MC:** The MC takes out the previous candle's low, initially looking bearish, but then reverses and takes out the previous candle's high. If it closes above the previous candle's high, we classify it as a **bullish MC**.
- **Bearish MC:** The MC takes out the previous candle's high, initially looking bullish, but then reverses and takes out the previous candle's low. If it closes below the previous candle's low, we classify it as a **bearish MC**.

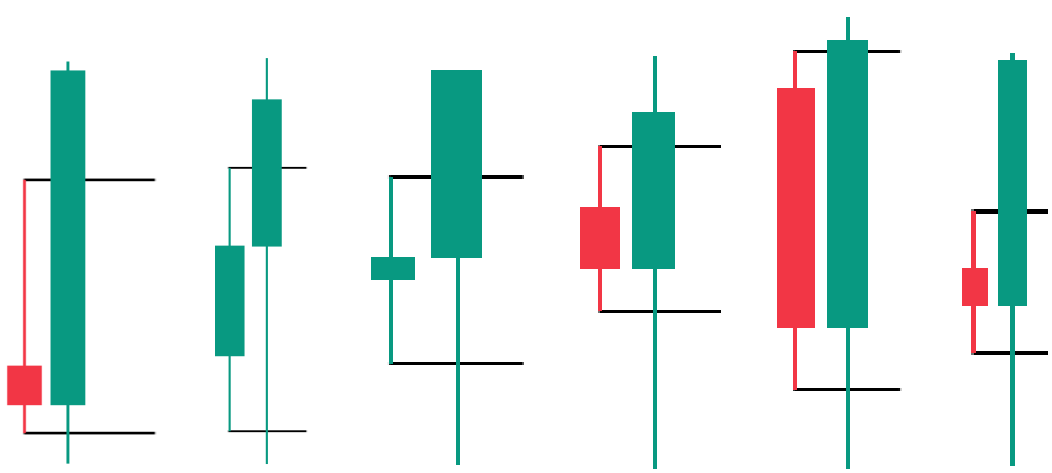
The ideal MC has a larger rejection wick than its directional wick:

- **Bullish MC:** The bottom wick should be larger than the top wick.
- **Bearish MC:** The top wick should be larger than the bottom wick.

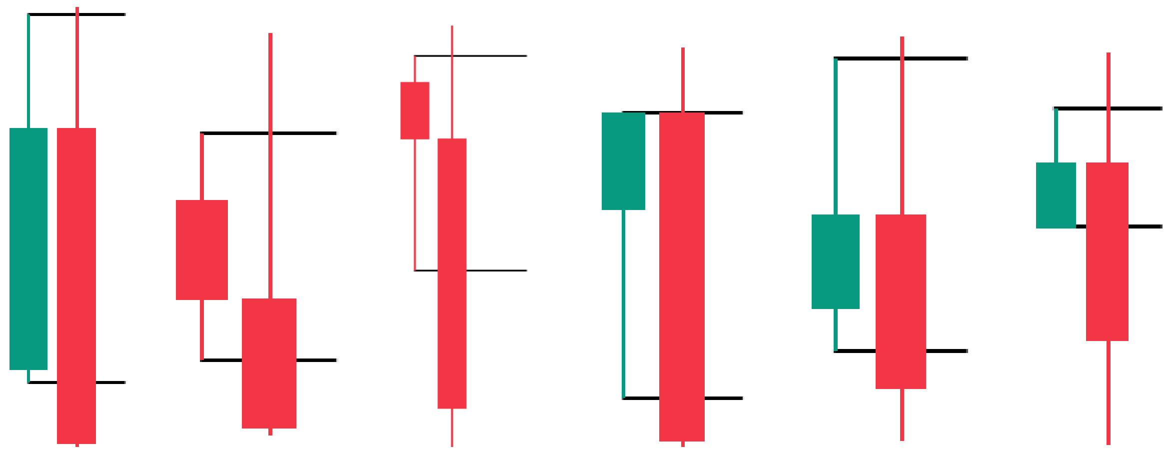
Since you won't always get a perfect MC, here are some good examples:

MC Examples:

Bullish MC:

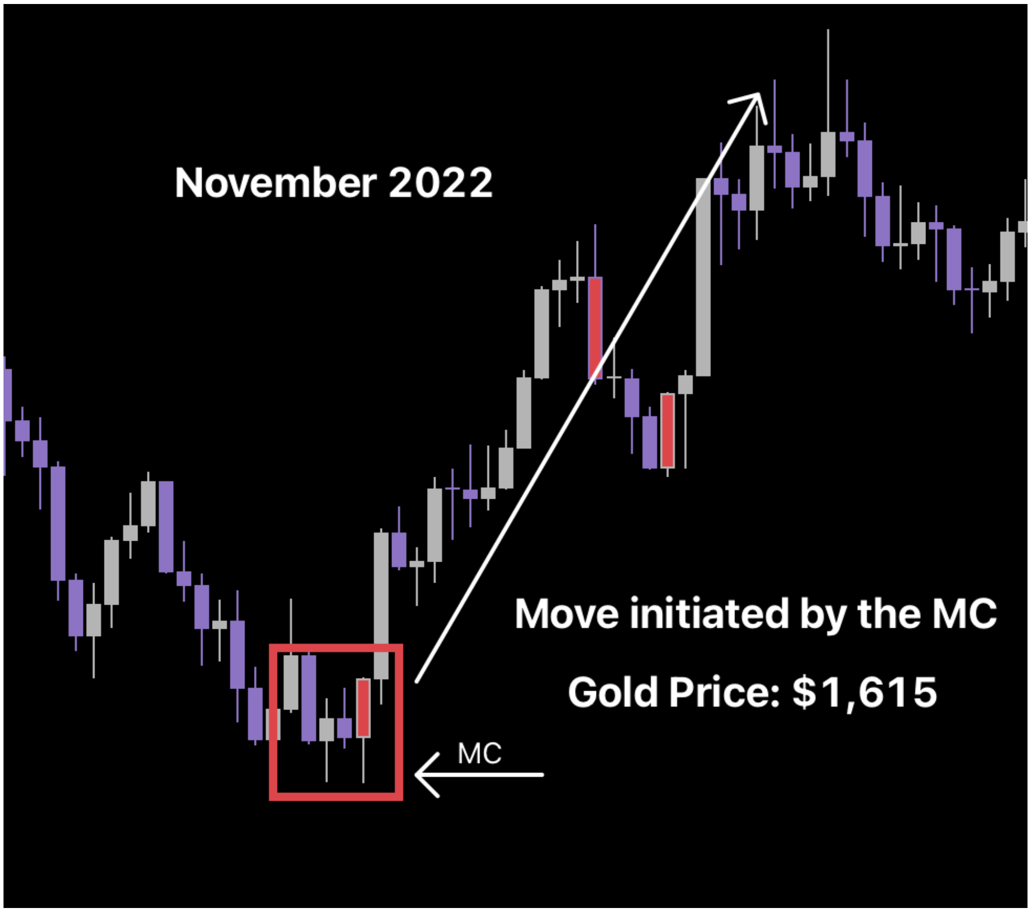


Bearish MC:



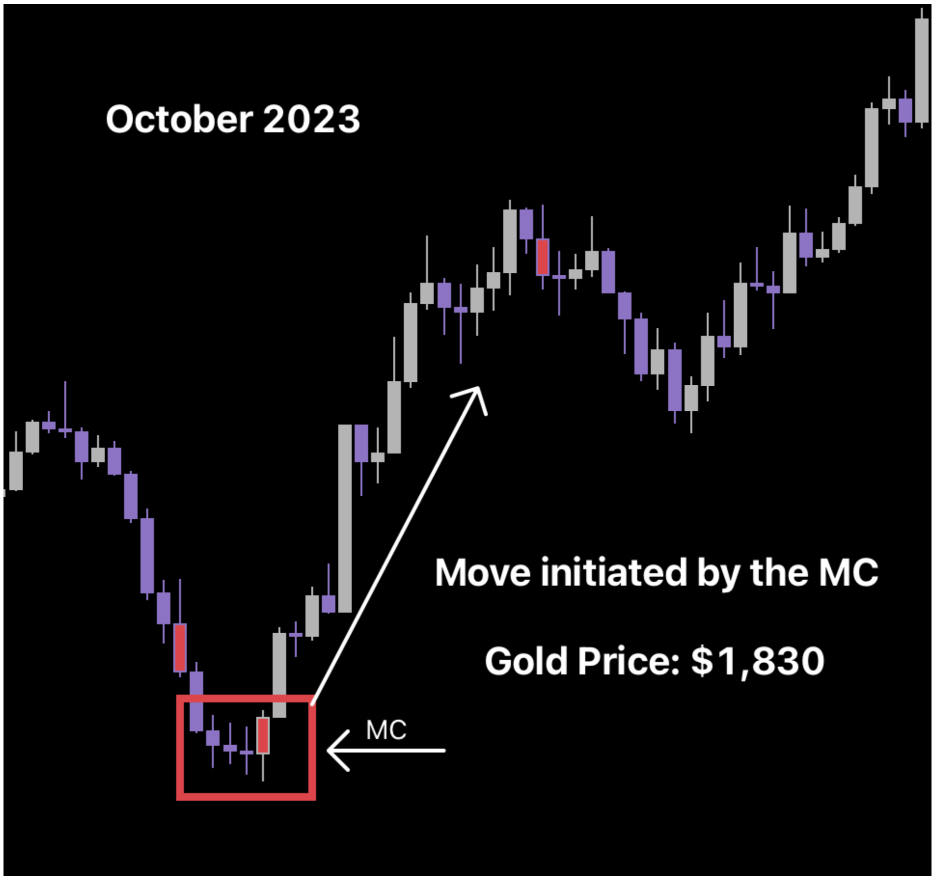
MC - The Origin of Every Big Move in the Market

Gold Weekly Timeframe



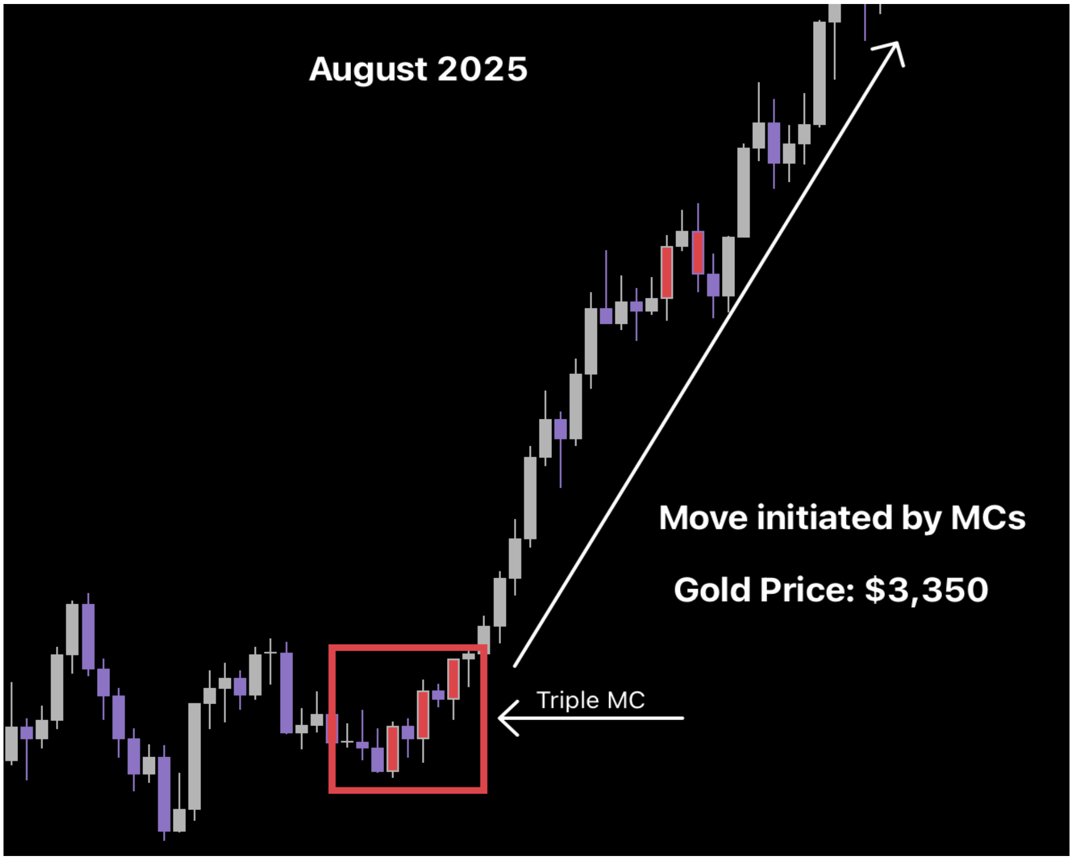
Now: GOLD ATH $4,380

Gold Daily Timeframe



Now: GOLD ATH $4,380

Gold Daily Timeframe



Now: GOLD ATH $4,380

Utilizing the MC for Trade Setups & Precise Entries

There are different setup types, which we will evaluate in this document.

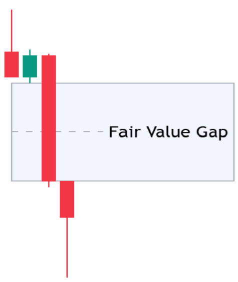
You don't have to use all of them at once—take it slow. Master one setup first before moving on to the next.

These are the setups we will focus on initially:

1. **MC + HTF Area of Interest**
2. **MC + Opening Price**
3. **MC + PXH/L**

Key Areas of Interest

H4 & H1 & M30 Fair Value Gap (FVG)



Opening Prices:

- Daily Open
- Weekly Open
- New York Midnight
- Monthly Open

PXL/H: Previous Highs & Lows

- Previous Day Low/High
- Previous Week Low/High
- Previous Session Low/High
- Previous Month Low/High

Volume Profile: (in-depth explanation on p. 26)

- Previous Week's Profile (VAH, VAL, POC, LVN)
- Previous Day's Profile (VAH, VAL, POC, LVN)
- Current Week's Profile (VAH, VAL, POC, LVN)
- Current Day's Profile (VAH, VAL, POC, LVN)
- Current Session's Profile (VAH, VAL, POC, LVN)

MC + HTF Area of Interest

This setup involves waiting for price to reach a **higher timeframe (M30/H1/H4) Area of Interest (AOI)** and print an **MC** within the AOI.

We can never predict which AOI price will react to, but the MC provides **lower timeframe confirmation** of a potential move. Not only that, but it also gives us a complete trade setup. (More on this in the **Management Protocol**.)

Example:
H1 FVG + M15 MC+ ("+" stands for bullish MC)

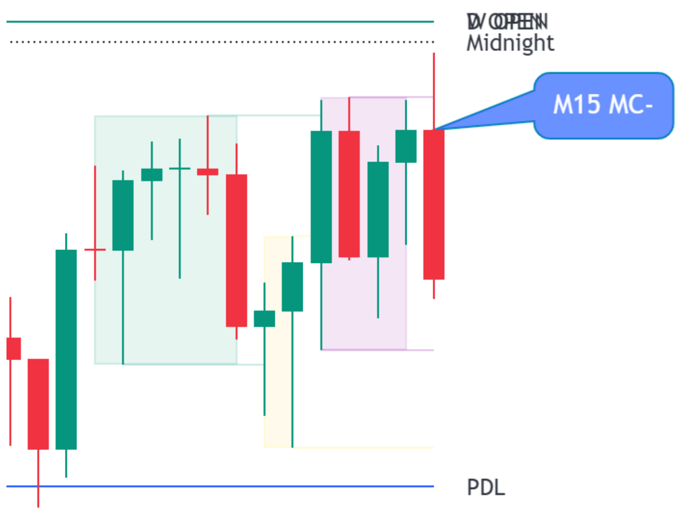
MC + PXL/H (Previous Highs/Lows)

In this scenario, we use the **MC** for a potential reversal after a **Liquidity Sweep**.

The **Manipulation Model** utilizes the following **PXL/H:**

- Previous Day Low/High
- Previous Week Low/High
- Previous Session Low/High
- Previous Month Low/High

Example:
An **M15 MC-** (bearish MC) takes out the **Previous Session High (PSH)** and closes back within the range as an MC.



MC + Opening Price

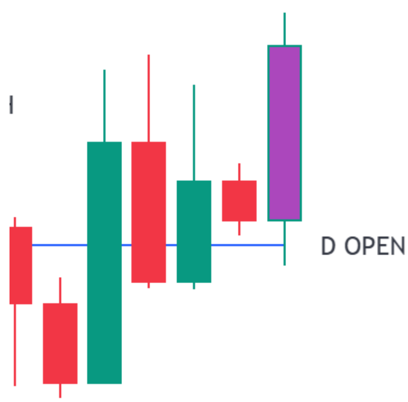
The opening price of a session is a key level where **major market participants** position themselves.

- If **bullish**, they ideally buy **below** the opening price.
- If **bearish**, they ideally sell **above** the opening price.

We can also identify **MCs** forming around opening prices and use them for trade setups.

The opening prices used within the **Manipulation Model** are:

- **Daily Open**
- **Weekly Open**
- **New York Midnight**
- **Monthly Open**



Identifying Traps and Using them to your Advantage -

Bulltrap & Beartrap Setups

The Manipulation Candle is the most powerful candlestick. Therefore, we are normally looking for a pro-trend MC (in a bullish trend, we look for bullish MCs). Over years of executing on the MC and refining our strategy to its current stage, we have identified the MCs which become traps, and are able to use them to our advantage.

How do we identify a potential trap?

In a bullish trend, we assume that bearish MCs will most likely become Beartraps.

In a bearish trend, we assume that bullish MCs will most likely become Bulltraps.

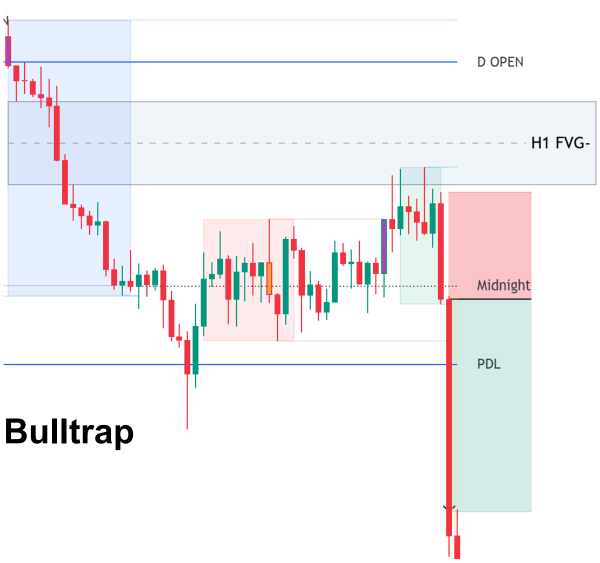
Those strong candles will make most traders think that price is going to reverse and they will try to catch the bottom/top. What we will do is wait for the Beartrap/Bulltrap to be confirmed and take a trade.

When is the trap confirmed?

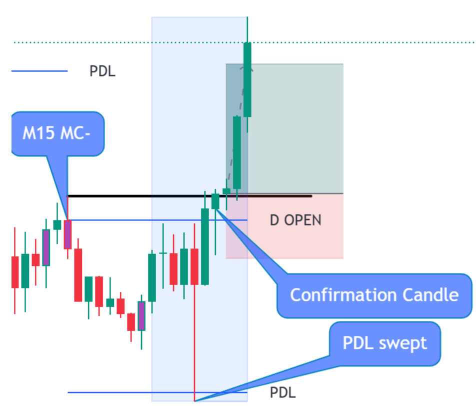
Once we see a candle body closure above the high of the Bearish MC (Beartrap) or below the low of the Bullish MC (Bulltrap), the trap is confirmed.

This is for all timeframes. But since we are focused on intraday trades, you can look for traps on the M15/M30/H1.

Example:
Intraday Bearish Trend, Pre-Ny M15 MC+, NY taps H1 FVG-, M15 Closure below M15 MC+ (confirming Bulltrap). Entry at the Closure, SL above the Confirmation Candle (the candle that managed to close below the Bullish M15 MC+, Target 1:2RR



Bulltrap



Beartrap

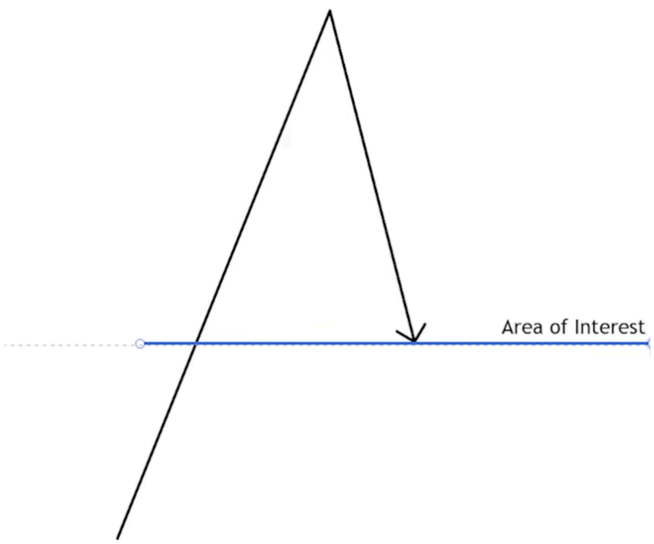
We still want the trap to occur within an AOI like in the example above. This will provide high volume for our setup to become a win.

Where will most likely Bulltraps occur? At a high.
Where will most likely Beartraps occur? At a low.

Identify the Traps and wait for the confirmation closure. This is the most essential part of these setups.

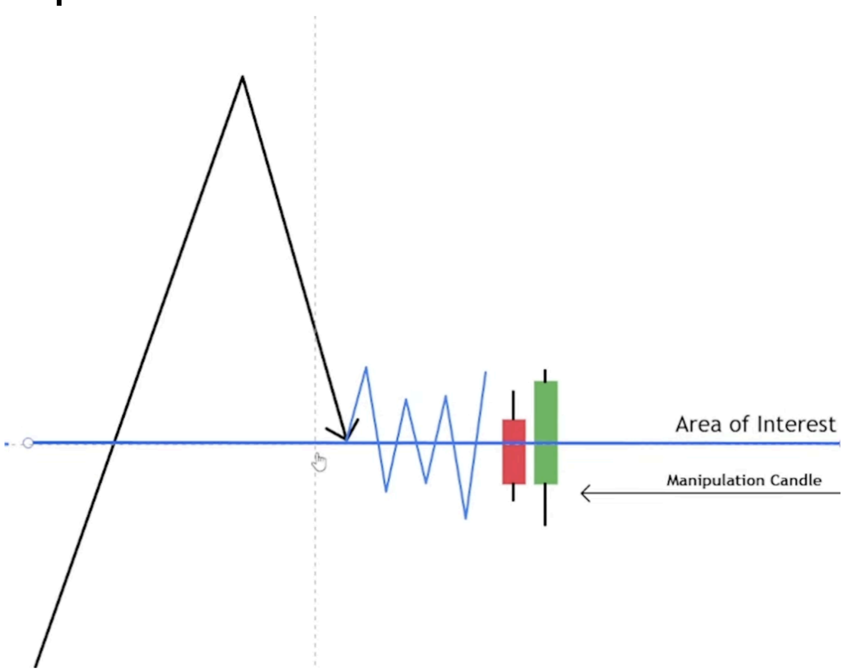
Step by Step Guide

Step 1:



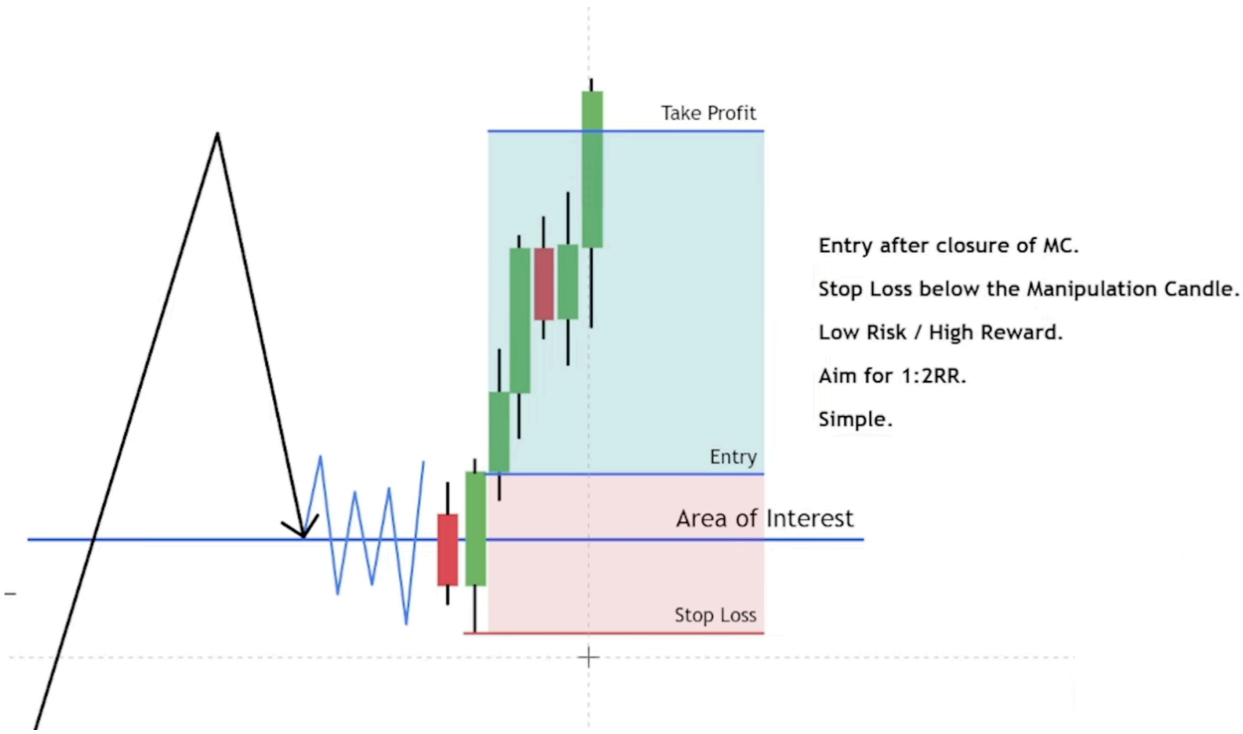
Identify the current trend,
Wait for a pullback into an area of interest

Step 2:

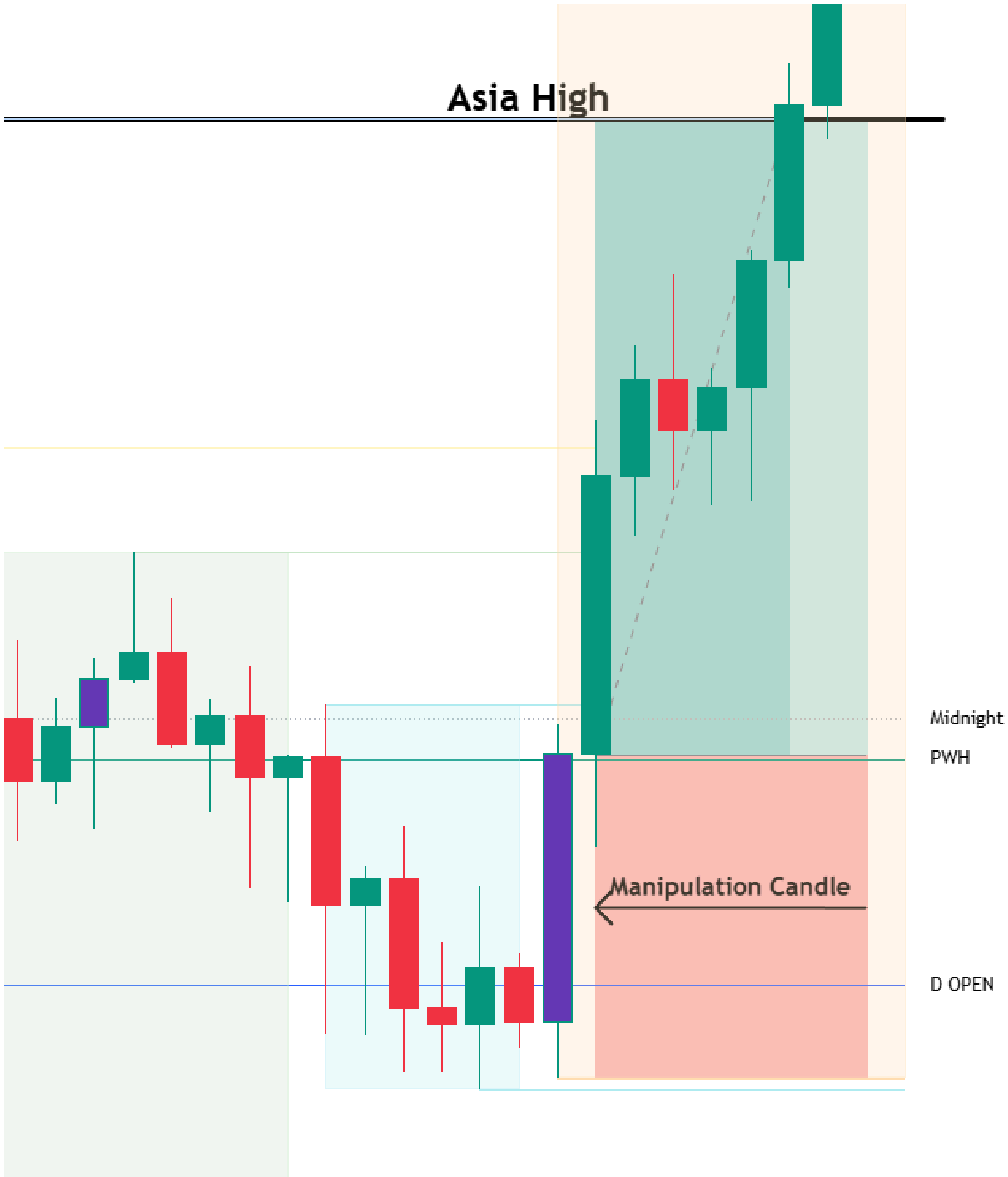


Wait for a range build-up + Manipulation Candle

Step 3:

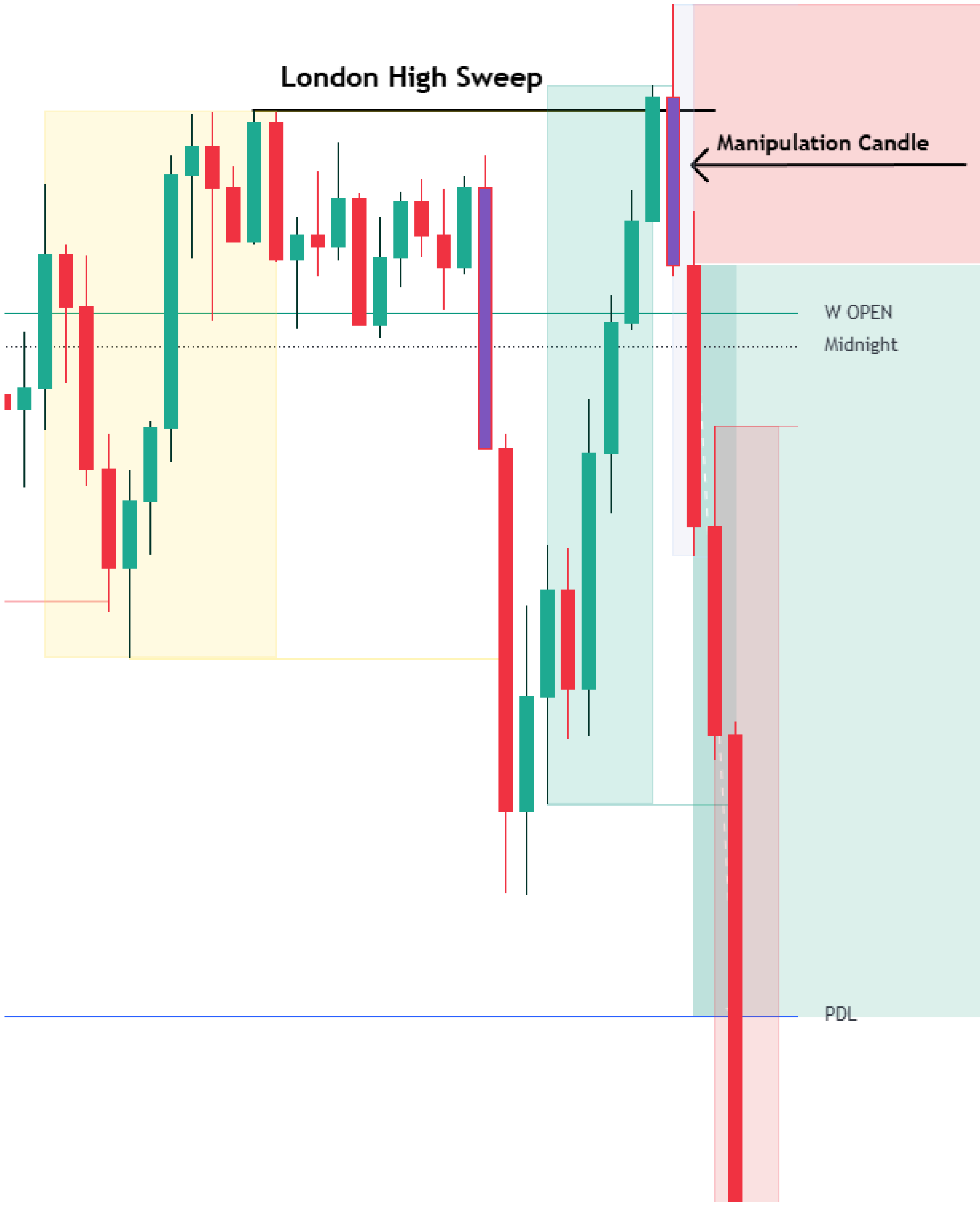

Take Profit
Entry after closure of MC.
Stop Loss below the Manipulation Candle.
Low Risk / High Reward.
Aim for 1:2RR.
Simple.
Entry
Area of Interest
Stop Loss

Trade Examples

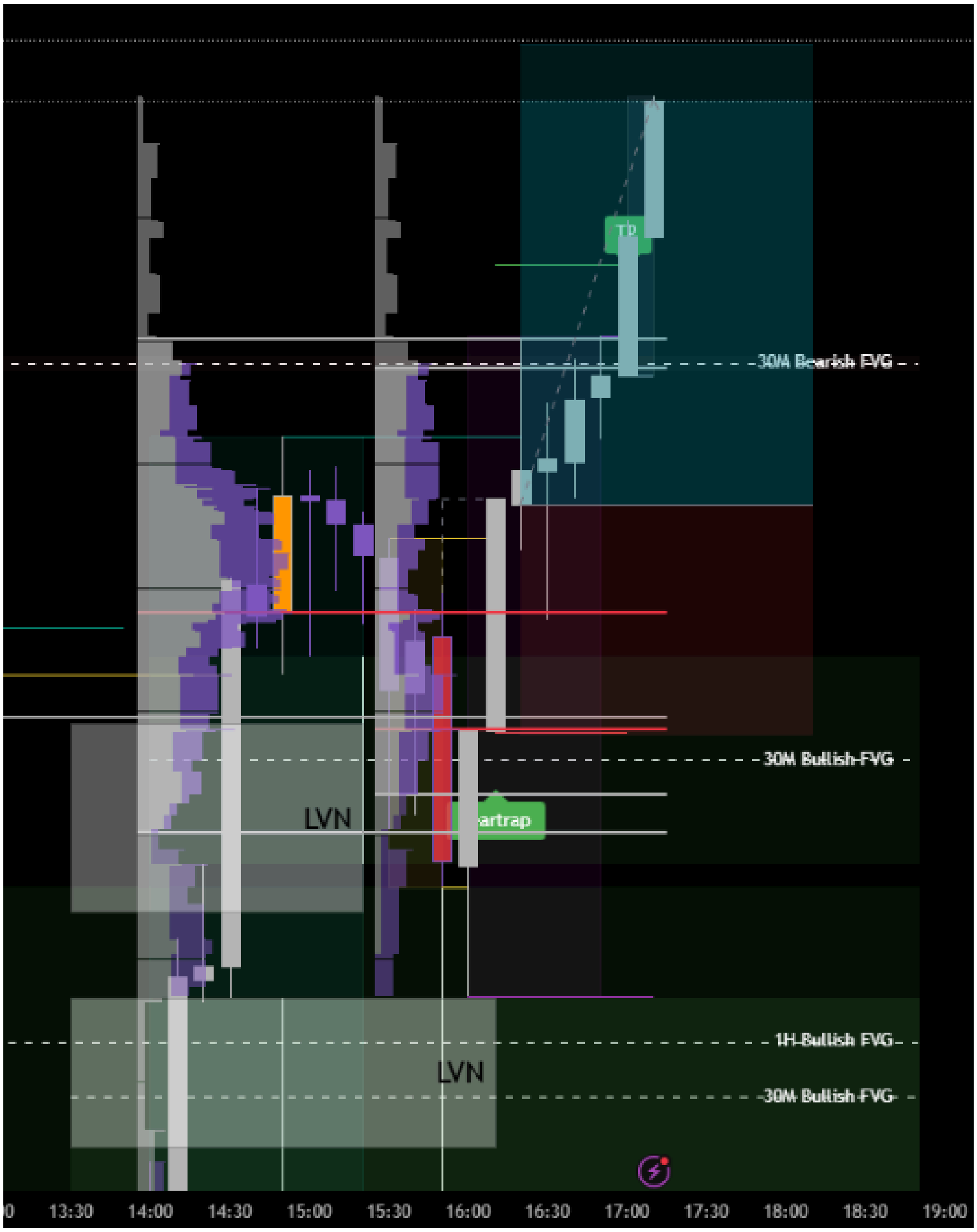


Asset: GOLD
Entry Timeframe: M5
Area of Interest:
Daily Open

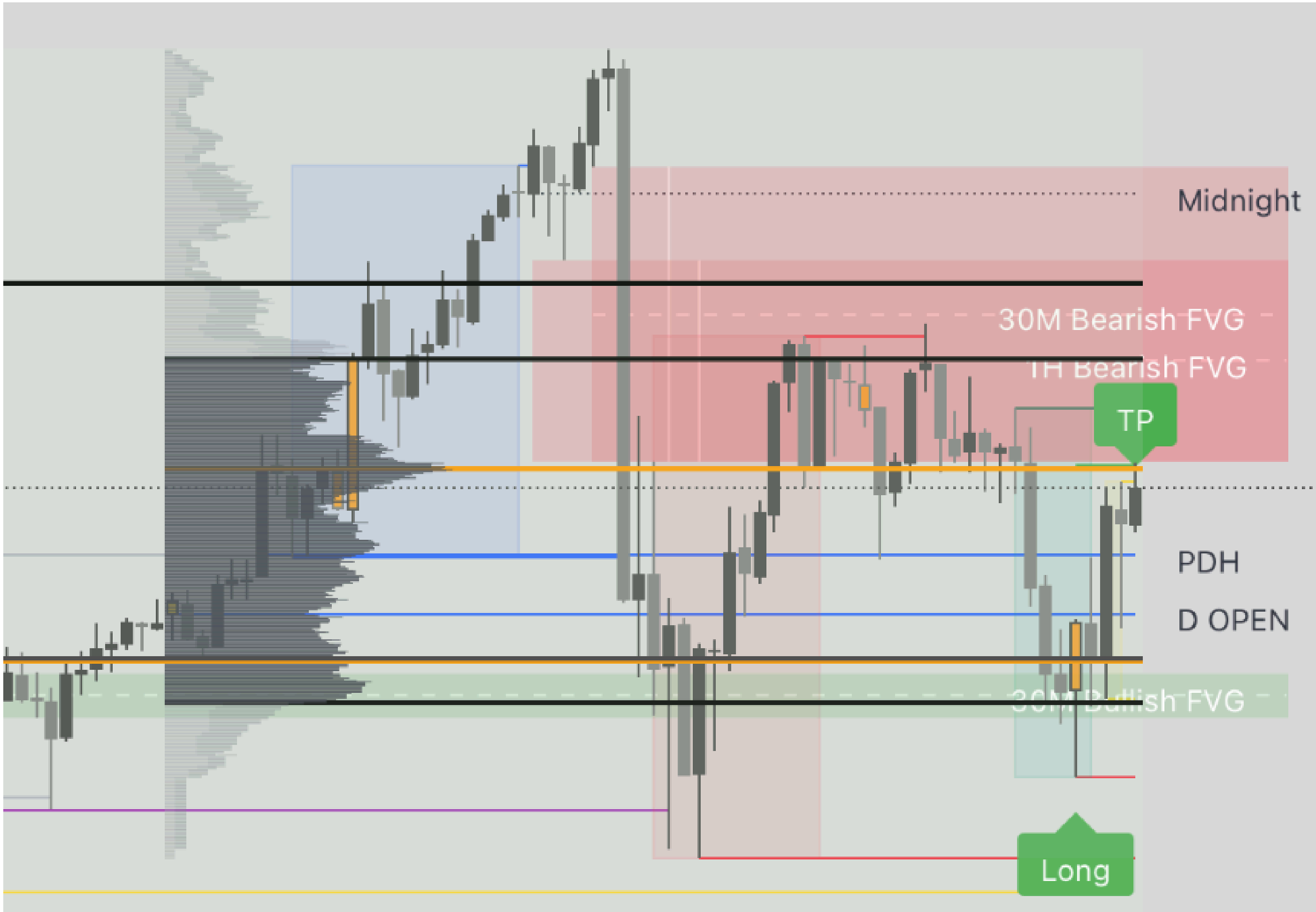
Asset: NASDAQ
Entry Timeframe: M5
Area of Interest:
FVG,
Asia Session Low



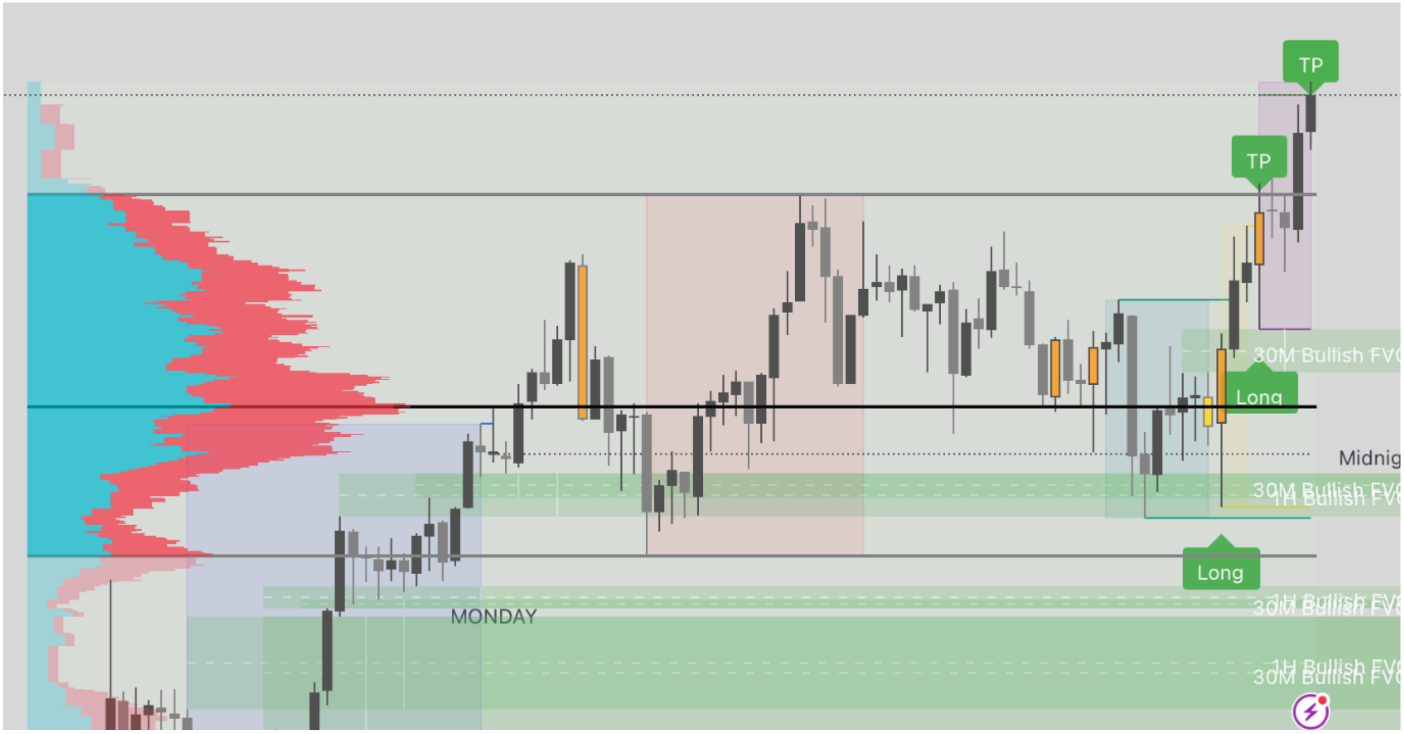
Asset: GOLD
Entry Timeframe: M15
Area of Interest:
Previous Session High,
FVG



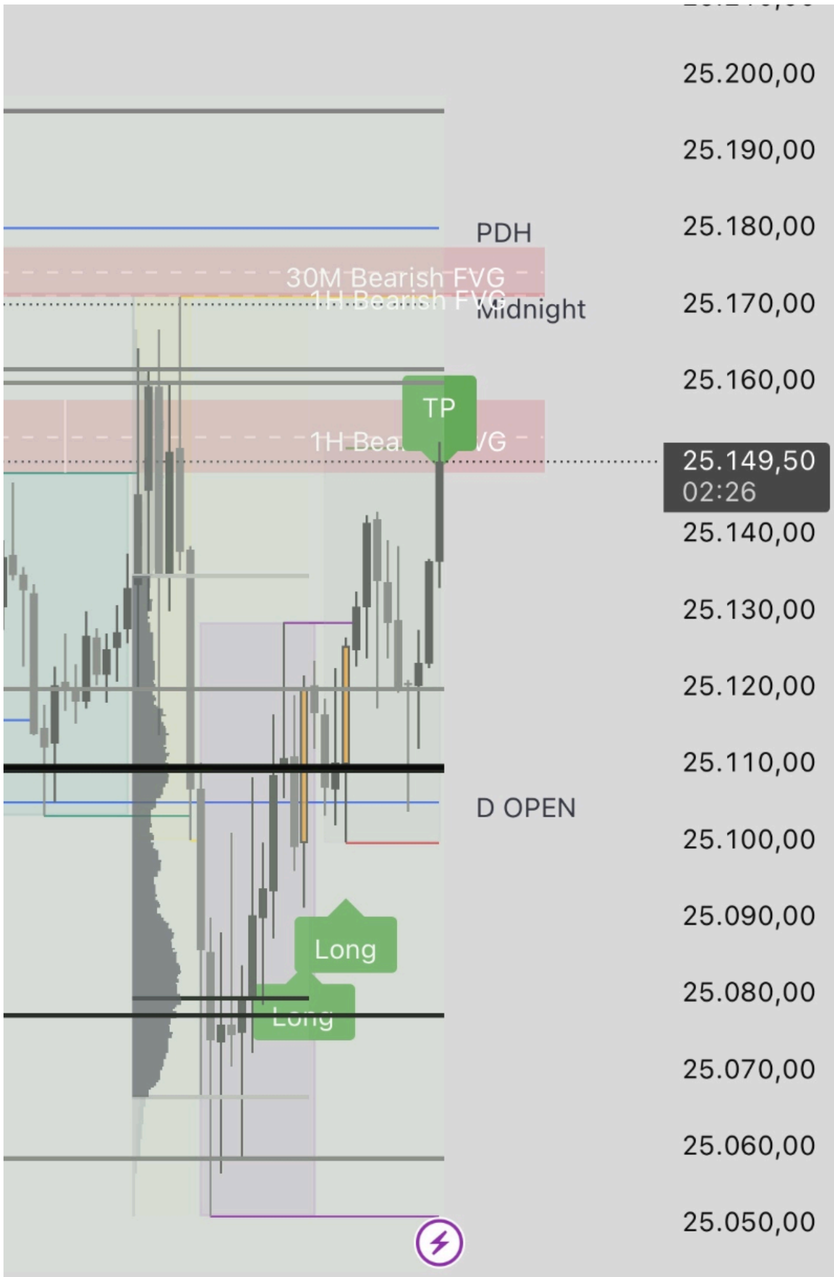
Asset: GOLD
Entry Timeframe: M10
Area of Interest:
FVG,
NYSE Session Low,
Session POC & VAL,
Low Volume Nodes



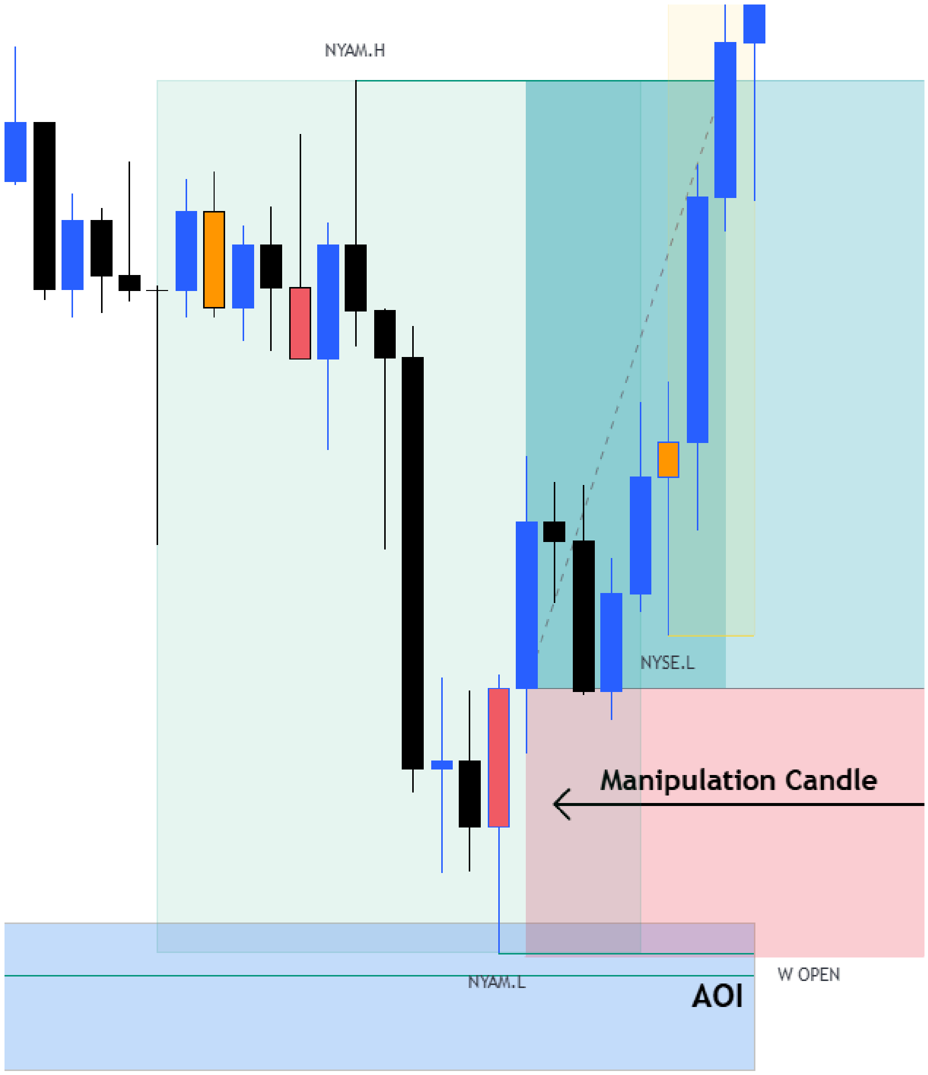
Asset: GOLD
Entry Timeframe: M15
Area of Interest:
FVG,
Current Day VAL,
Current Week POC



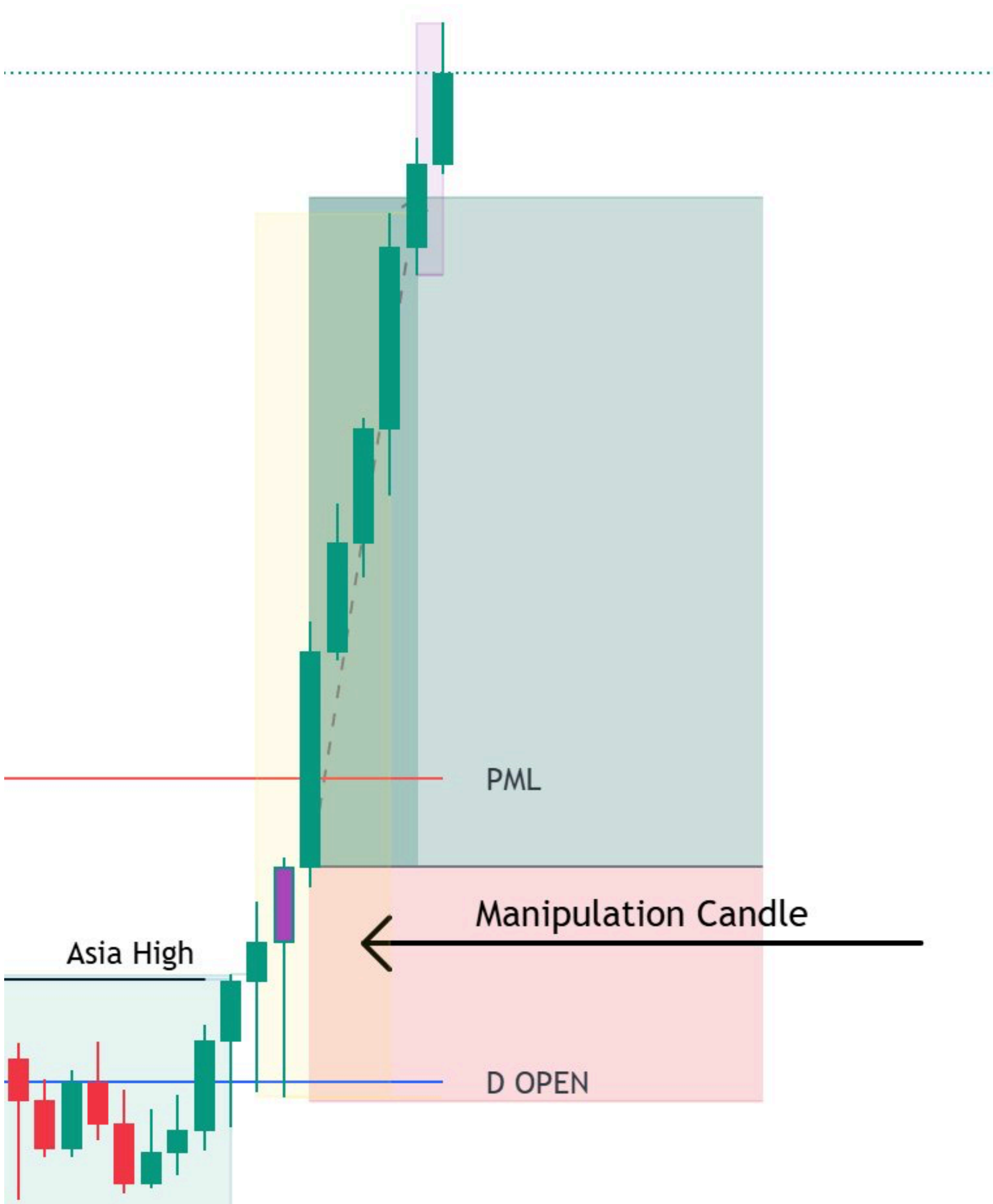
Asset: GOLD
Entry Timeframe: M10
Area of Interest:
FVG,
Midnight,
Current Day POC



Asset: NASDAQ
Entry Timeframe: M5
Area of Interest:
Daily Open,
Current Day POC



Asset: GOLD
Entry Timeframe: M5
Area of Interest:
FVG



Asset: GOLD
Entry Timeframe: M5
Area of Interest:
Asia High Session Closure,
Daily Open

Timing

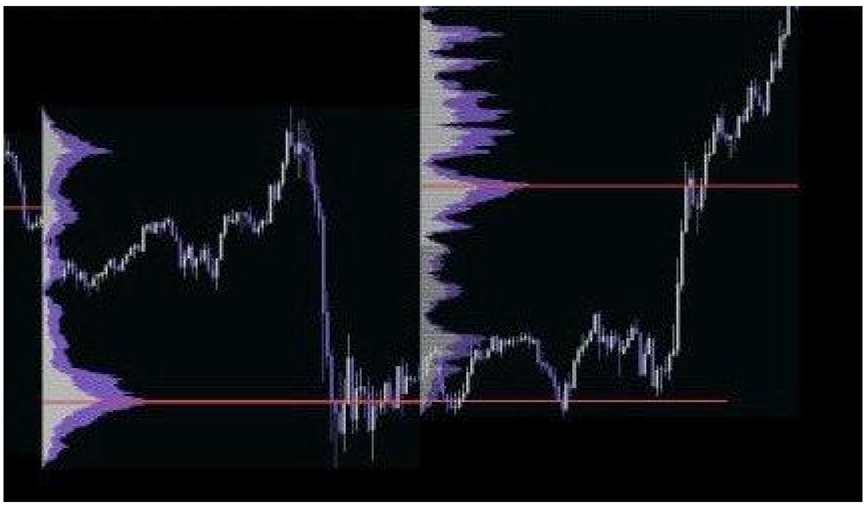
The **Manipulation Model** lives off of **volume**. This is why it is key to look for the MC during High Volume Sessions such as **Asia, London & New York**. For this you will use the same indicator outlined in the Areas of Interest chapter (*ICT Killzones & Pivots by TFO*). Make sure you are using the same time settings as the Funded Brothers.

If you are trading the Manipulation Model on Indices, you can also trade the PM Session.
Key time-window for the PM Session is 12:00-02:00 PM EST.

Understanding the Volume Profile — A Powerful Tool for Precise Entries

This is the Volume Profile, and it can give you precise, sniper-level entries for your trades. Most traders don't know about this simple yet powerful tool — but after going through this chapter, you'll be able to add it to your trading arsenal.

The Volume Profile is a versatile tool used by traders to analyze the volume traded at each price level within a specified time frame. Unlike traditional volume indicators that display volume over time, the Volume Profile shows the volume distribution vertically along the price chart.



Why This Matters

High-volume nodes at specific price levels indicate areas of strong buying or selling interest. When price revisits these areas, we can often expect a reaction, which presents an opportunity to enter or exit trades.

The Volume Profile highlights a range where 70% of trading activity occurred — known as the Value Area.

It consists of three key levels:

- Value Area High (VAH)
- Value Area Low (VAL)
- Point of Control (POC)

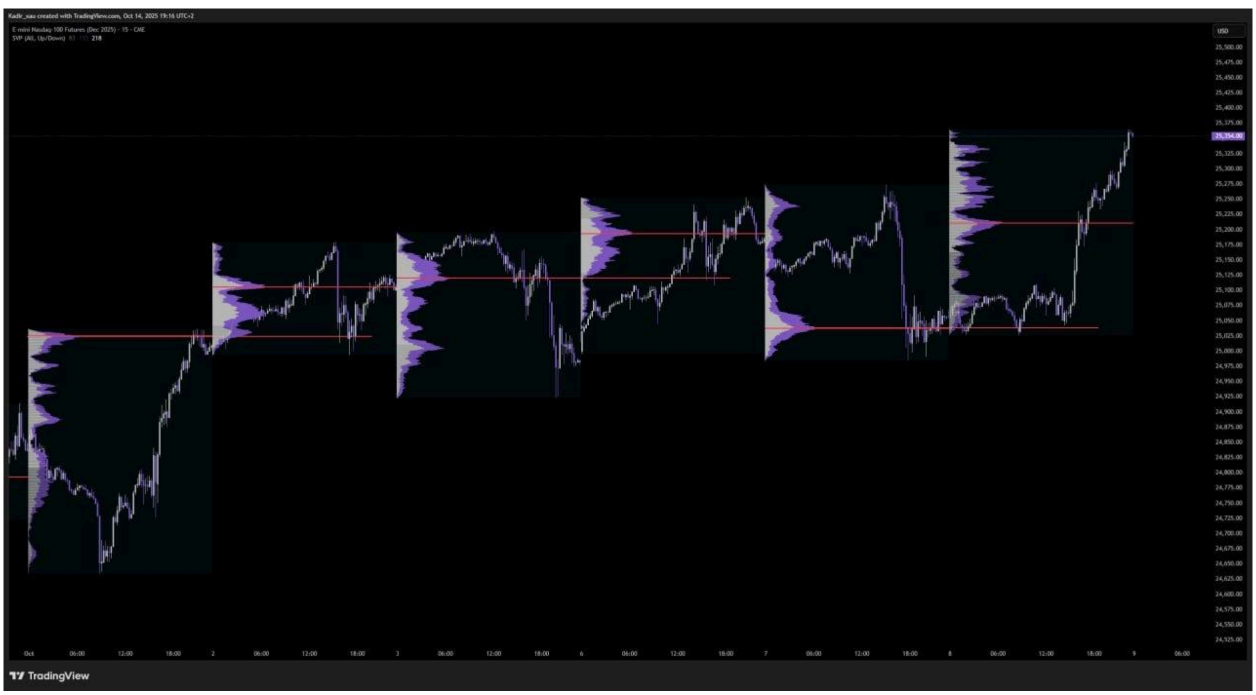
The Value Area represents the range of price levels where a specified percentage (typically 70%) of all volume was traded during that time period.
The Point of Control represents the single price level where the most trading volume occurred — the price where traders were most active.

Volume Profile Tools

Let’s go over some different Volume Profile tools available on TradingView.com.
Each of these tools can help you identify important trading levels and strengthen your confidence in setups.

Fixed Range Volume Profile:

With the Fixed Range Volume Profile, we can choose whether or not to include current market price action — allowing us to focus solely on historical price data.
This can be very useful because old Points of Control often remain strong levels on the chart. We can mark out multiple areas within the fixed range Volume Profile and see how price has reacted to every previous Point of Control.
When price breaks out of a range and then returns, these old POCs often create short-term day trading opportunities. While they don’t always cause a full trend reversal, they frequently act as reliable reaction zones.



Session Volume Profile

Now, let’s go over the Session Volume Profile indicator. This version automatically plots all the volume profiles from previous trading sessions. With the free version of TradingView, you’ll have to mark these manually, so don’t feel pressured to upgrade — the free Fixed Range Volume Profile can accomplish nearly the same thing. Each range in the Session Volume Profile represents one trading day, making it especially useful for day traders who look for quick in-and-out trades. If you look closely, you'll notice that Points of Control from past sessions often act as support or resistance in future trading sessions. This is exactly how you should use this tool — by studying the volume profiles of previous days. You might wonder,

"Why don't we use the current day's session volume?"

That's because the current trading day hasn't ended and is constantly changing in real time, which can cause false signals or flawed readings. It's best to focus on completed sessions to ensure accuracy. Once you have more experience with the profile, you can also use the developing profile of the session/day/week!

How to use the Volume Pivots in alignment with other Areas of Interest?

Combining them all for high probability setups. Align your entries with Big Market Participants (Who is in pain? Who is in control?).

So which Ranges are best to use for scalping and daytrading?

- Previous Week's Profile

- Previous Day's Profile

- Current Week's Profile

- Current Day's Profile

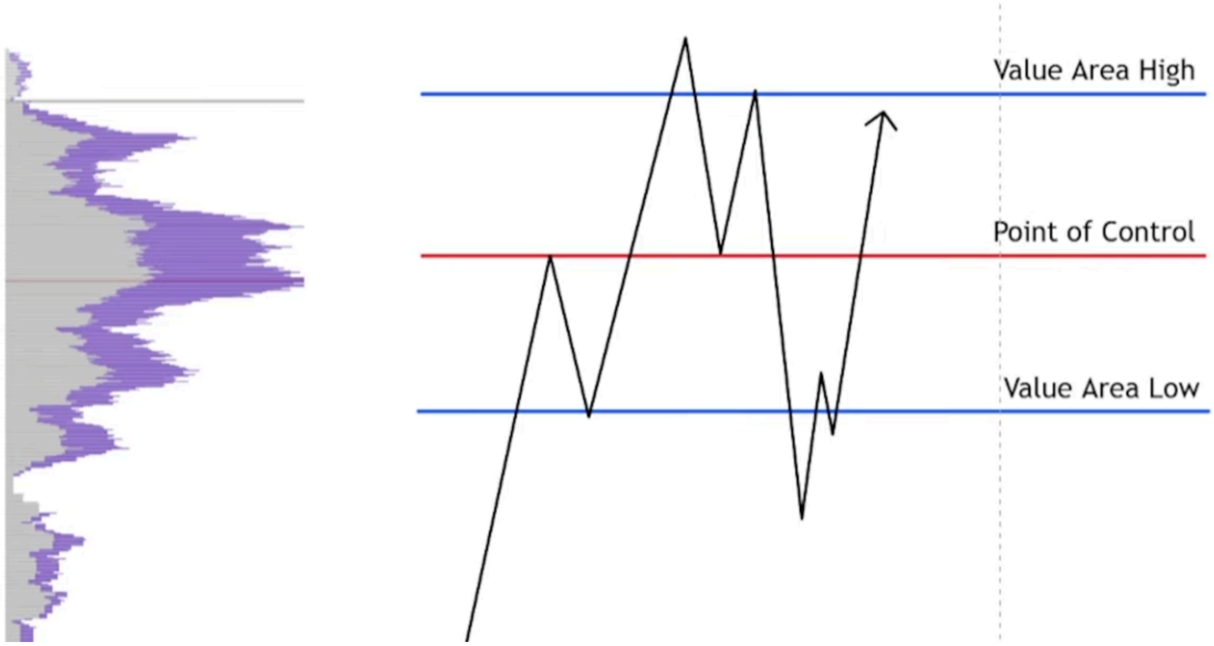
- Current Session's Profile

For indices like NQ & ES:
You can only focus on 9:30am-Market Close
Overnight Profile (Asia + London + Pre-Market)
Previous Day's Profile (9:30-5pm)

Trade Examples:
8 Oct 3:25 M5 MC Long (VAH of Today, POC of Week) GOLD
13 Oct 17:50 M5 MC + Beartrap (VAH) GOLD
13 Oct 17:05 M5 MC (Midnight + POC + VAL of current day) ES
14 Oct M15 MC Long (VAL) GOLD
5 Dec GOLD 15:35 (M5) CD VAH + CS POC & VAL + PWH + Weekly Open
8 Dec GOLD 15:55 (M5) PW POC + PD POC + CD POC + Midnight + FVG + Daily Open

Step by Step Guide

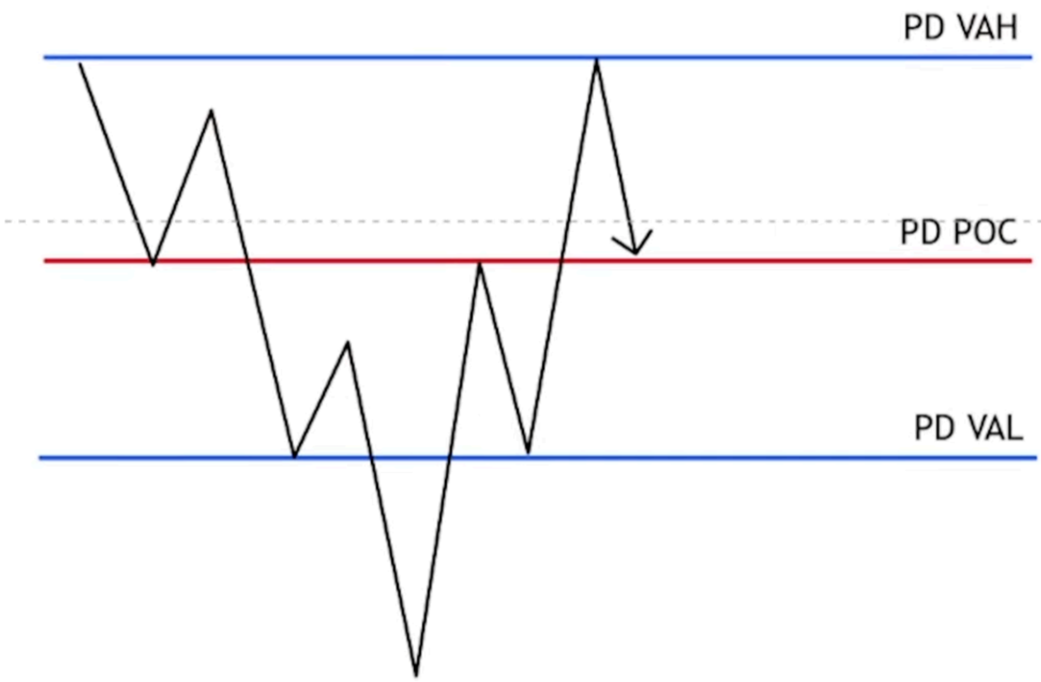
Step 1:



Draw the Fixed Range Volume Profile of the Previous Week & Previous Day in order to identify the Volume Pivots and Low Volume Nodes.

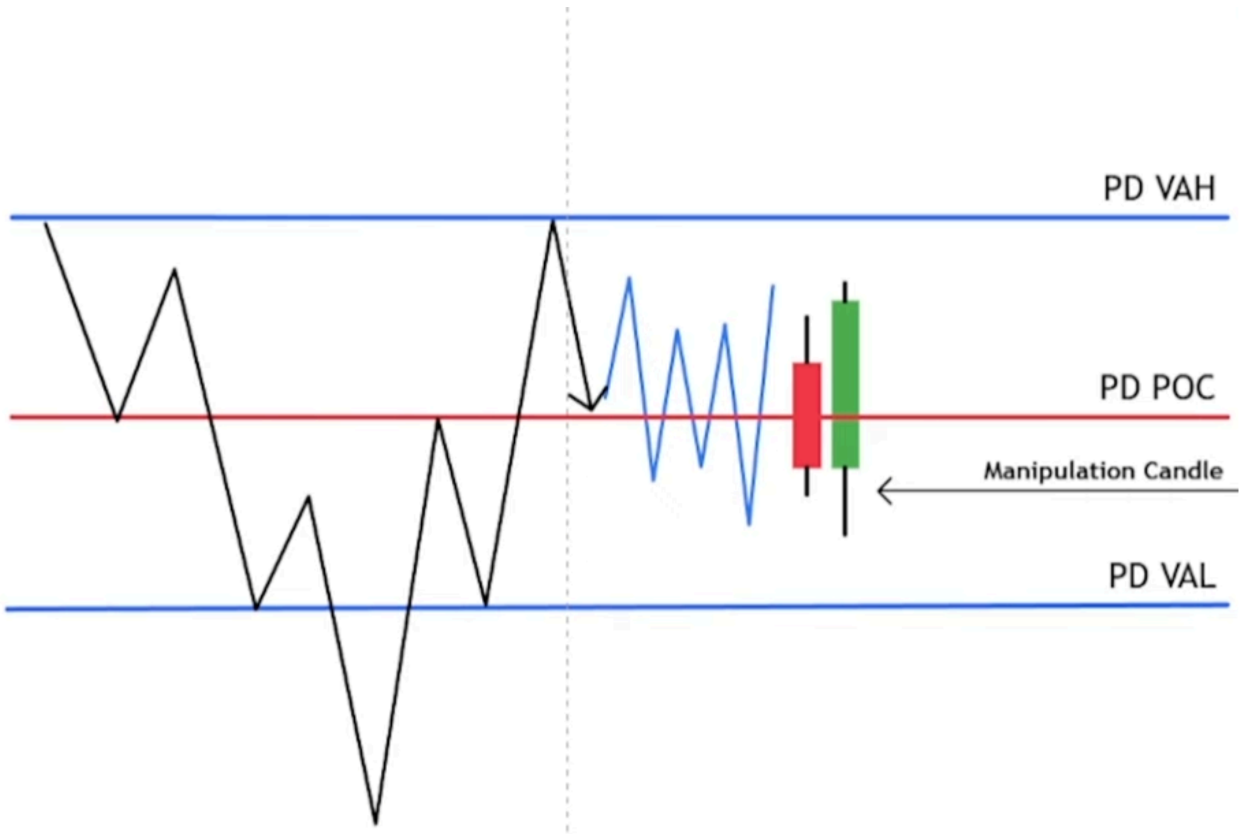
In the beginning focus on the previous day’s profile first. Once you get used to it, you can start implementing the current week’s & day’s profiles as well.

Step 2:



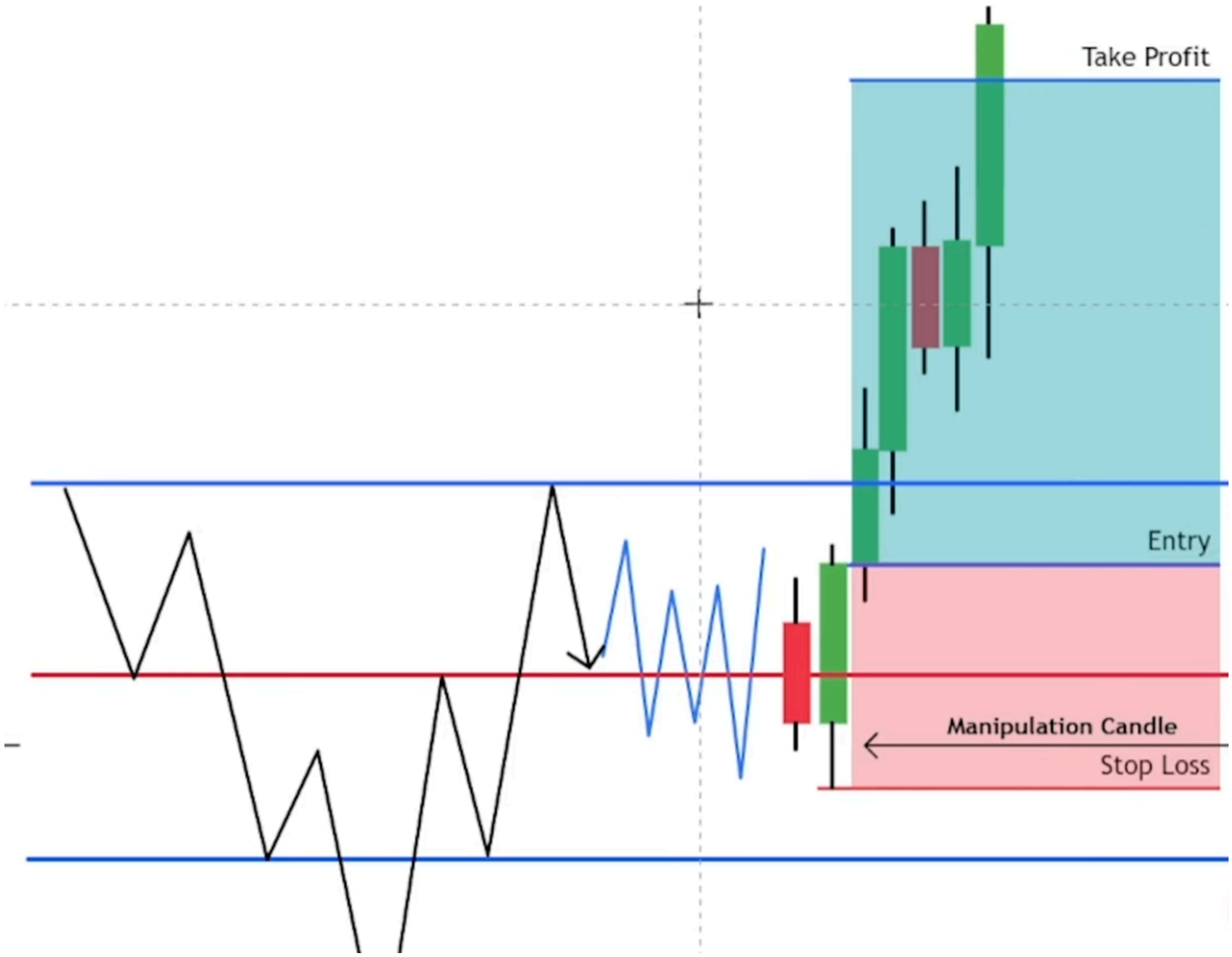
Now your chart will look like this.
And you will wait for one of the volume pivots to get retested.

Step 3:



You wait for a range build-up + MC to form.
Timeframes: M5/10/15
Once you are advanced and have enough experience, you can also use the M3 timeframe.

Step 4:



Entry after the MC closure.
Stop loss below the MC.
Aim for minimum 1:2 RR

Manipulation Model Trade Checklist

Playbook:

1. *MC Entry from AOI*
2. *Bulltrap / Beartrap from AOI*

Areas of Interest:

1. H4 & H1 Fair Value Gap (FVG)
2. MC + Opening Price (Daily, Midnight, Weekly)
3. MC + PXH/L (Session, Day, Week)
4. Volume Profile (VAL, VAH, POC, LVN)

1. MC Entry from AOI:

Rules:

Bullish AOI only Buys
Bearish AOI only Sells

Entry Checklist:

- [ ] Price in/at AOI
- [ ] Wait for M5/M10/M15 MC to be formed
- [ ] Execute after MC closure
- [ ] Stop Loss above/below MC

Trade Management:

- [ ] Target 1:2RR
- [ ] Stop Loss to Entry price (Breakeven) once price hits 1:1RR
- [ ] Full Take Profit at 1:2RR

2. **Bulltrap / Beartrap from AOI:**

Rules:

Bulltrap + Bearish AOI only Sells
Beartrap + Bullish AOI only Buys

Entry Checklist:

- ☐ Price in/at AOI
- ☐ Wait for M5/M10/M15 MC to be trapped (closure above/below MC)
- ☐ Execute after Bulltrap/Beartrap Confirmation Candle
- ☐ Stop Loss above/below Bulltrap/Beartrap Confirmation Candle

Trade Management:

- ☐ Target 1:2RR
- ☐ Stop Loss to Entry price (Breakeven) once price hits 1:1RR
- ☐ Full Take Profit at 1:2RR

Journal your Trades:

Example of a Journal:

“Asset, Session & Timing, AOI, MC, Outcome”

1. GOLD Buy, NY Session, 9:15 am, H1 FVG+, M15 MC+, Win (+2R)

2. NASDAQ Sell, NYSE Session, 10:00 am, Daily Open + H4 FVG- + PD POC, M10 MC-, (BE)

3. NASDAQ Buy, NYSE Session, 9:30 am, Asian Session Low & H1 FVG+ + CD VAH, M5 Beartrap, Loss (-1R)

4. GOLD Sell, London Session, 3:45 am, H4 FVG- + PW POC + PD VAH, M10 Bulltrap, Win (+2R)

Execution Protocol

Once one of the above setups presents itself, you will enter a position with your **Stop Loss (SL) at the high/low of the MC**:

- **Bullish Setup:** SL goes **below** the low of the MC.
- **Bearish Setup:** SL goes **above** the high of the MC.
- **Bulltrap Setup:** SL goes **above** the high of the confirmation candle.
- **Beartrap Setup:** SL goes **below** the low of the confirmation candle.

Your **SL price range in points** is **1R**.

Risk-to-Reward (RR) Guidelines:

- **Beginner:** Aim for a **1:1 RR**.
- **Advanced:** Once experienced, aim for **1:2 RR or higher**. (Note: Move SL to <u>Breakeven/Entry Price</u> when Trade goes to 1:1 RR)